

Group (2004) 121 Cal.App.4th 1225, 1222.) The test is whether there is an intent to benefit a third party that appears from the terms of the contract. (*Id.*) The intent must have been clearly manifested. (*Schauer v. Mandarin Gems of California, Inc.* (2005) 125 Cal.App.4th 949, 957-958.) Defendant is specifically identified as a third party beneficiary.

Plaintiff cites to *Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817, 829-830, which states that a court looks at the express language of the contract and the circumstances under which the parties agreed to the contract, including whether the third party would in fact benefit from the contract, whether a motivating purpose of the contracting parties was to provide a benefit and whether permitting a third party to bring its own breach of contract action is consistent with the objectives of the contract and reasonable expectations of the contracting parties. However, there, the plaintiff was not expressly named as a party. Even assuming the *Goonewardene* factors apply, the arbitration agreement expressly identifies Defendant as a third party beneficiary, which Plaintiff agreed to by signing the lease. Here, Defendant benefits from the contract as it is entitled to enforce the arbitration agreement. The leases clear language indicates an express intention to identify Defendant as a third party beneficiary. It is consistent with the objectives of the contract as any other result would contradict the express terms of the contract.

Plaintiff relies on the *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122. However, again, the manufacturers were never named as part of the sales contract. In contrast here, Defendant is expressly named as a third party beneficiary. Plaintiff then asserts that her claims do not arise out of the lease. However, the arbitration provision provides: “which arises out of or relates to a credit application, this lease *or any resulting transaction or relationship arising out of this lease.*” Plaintiff has alleged that “[i]n connection with the lease, Plaintiff received various warranties.” (Complaint ¶9.) Plaintiff’s relationship would not exist with Defendant without the lease, as Plaintiff leased the vehicle.

5.

CASE #	CASE NAME	HEARING NAME
CVME2504902	ANWAR VS SCUDDER	EX PARTE HEARING RE: OF SHARI R. SCUDDER AND SHELLEY E. MANGRAM TO ENFORCE PRELIMINARY INJUNCTION

Tentative Ruling: Hearing Required.

6.

CASE #	CASE NAME	HEARING NAME
CVME2504902	MILLER V YBARRA	APPLICATION FOR GOOD FAITH SETTLEMENT

Tentative Ruling: Application is granted. Here, Plaintiff submits the declaration of her counsel stating that the settling parties have agreed to the following material terms:

Plaintiff agrees to release all claims against Defendant DV Roofing and dismiss the above-entitled Complaint against Defendant DV Roofing and Defendant DV roofing by and through its insurance carrier, agree to pay Forty-Five Thousand Five Hundred Sixty-Two Dollar and Forty-One Cents (\$45,562.41) (Settlement Funds") to Plaintiff.

Each party will bear its own attorneys' fees and costs.

The parties will enter into a general, mutual release of all claims.

The settlement agreement is conditional upon its being found to be in good faith and dismissal of the related interpleader action filed by Defendant Hudson Insurance Company, a corporation, plaintiff in the interpleader action.

Here, the settlement appears to have been made in good faith, and Defendant Hudson provides no reason to conclude otherwise. The California Supreme Court in *Tech-Bilt v. Woodward-Clyde & Associates* (1985) 38 Cal.3d 488, provided a number of factors to consider in determining whether the settlement was in good faith:

- (1) "a rough approximation of plaintiffs' total recovery and the settlor's proportionate liability";
- (2) "the amount paid in settlement";
- (3) "the allocation of settlement proceeds among plaintiffs";
- (4) "a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial";
- (5) "financial conditions and insurance policy limits of settling defendants";
- (6) "the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants." (*Id.* at 499.)

Evaluation must be made on the basis of information available at the time of settlement. (*Ibid.*)

Here, Hudson fails to show that Plaintiff's settlement with DV Roofing lacks good faith based on any of the factors set forth above. Its only objection to a good faith determination is that the settlement is conditioned upon Hudson's dismissal of the interpleader Cross-Complaint, which Hudson did not consent to. However, neither the fact that the parties made their settlement conditioned upon Hudson's dismissal of its Cross-Complaint nor the Court's determination that the settlement was made in good faith imposes an obligation upon Hudson to dismiss its action. The parties to the settlement agreed to a conditional settlement and agreed among themselves that the settlement is finalized only if two contingencies occurred: (1) that the Court determines the settlement to have been made in good faith (Code Civ. Proc., § 877.6); and (2) and Hudson dismisses its action. Such terms are not binding upon Hudson to force it to dismiss its action. If the conditions are not met, the settlement will not materialize.